Reading NEPSE stocks with data

A plain-language guide to six years of testing: what worked, what did not, when it works, and what to look at before you buy

Data: 1,344 trading sessions, 8 Apr 2021 to 3 Nov 2026, 325 liquid stocks (including those that later merged or were delisted), prices adjusted for bonus and right shares. About 187,000 liquid stock-days.

Prepared: 3 Nov 2026, from the NEPSE Top Turnover app (Pattern scanner, My rules, Run analysis now). This edition replaces the one-year edition of 2 Nov 2026.

Read this first. Six years cover very different markets: the 2021 boom (+87%), the 2022–23 fall, the 2024 recovery (+62%) and two flat years. A pattern is only trusted here if it held up across those years. Even so, the future can differ from the past. Nothing in this guide is investment advice; it explains how the app's analysis works and how to read it, so you can decide for yourself.

1. The short version

We asked one question again and again: **if you had followed this rule every day, buying at the next morning's price and selling by fixed rules, would you have made money after charges?** We answered it for every stock, every day, for six years, and checked each answer year by year.

What we found

- **Buying any stock at random lost money in five of six years**, even in boom years (section 4). A rule has to beat that.
- **The textbook rules worked early, then stopped.** Breakouts, Bollinger squeezes, "accumulation near highs", EMA and MACD crosses made money mostly in 2021–23, then lost 1.4% to 4.2% per trade in 2024–26 (section 7).
- **Three patterns held up across the years** (section 8): a stock flat for three months (tight 60-day range: positive in all six years); and, when the whole market is weak, a quiet stock with turnover rising, or a dip in a stock still near its highs.
- **When to buy matters as much as what.** Buying after the whole market had pulled back beat the average in every one of the six years; buying when the market was stretched lost in every year (section 5).
- **Chasing a stock that just jumped lost in four of six years**; it only worked in the boom years 2021 and 2024.
- **A volume spike alone does not tell you the direction** (section 6).

How the app uses this

- **Pattern scanner → Today's picks** runs the three patterns after every daily crawl and records the picks.
- **Check stocks** runs them on any stock you name and shows that stock's own past record.
- **Past picks & results** shows every recorded pick and how it ended, per rule and per year.
- **Run analysis now** searches all stored data again, with results per year and per market state.

2. The basic words

Word	What it means	Why it matters here
Session	One trading day of NEPSE.	All counts ("20 sessions") are trading days, not calendar days.
Open / High / Low / Close	The first, highest, lowest and last price of the day.	Signals use the close; buying uses the next day's open.
Turnover	Money traded that day (Rs). Rs 1 Cr = Rs 100 lakh.	Compares activity across stocks of different prices.
Liquid	Enough is traded every day to buy and sell easily.	All rules need Rs 50 lakh+ average daily turnover.
50-day average (EMA)	The average price of the last 50 sessions, recent days weighted more.	Above it: rising lately. Below it: falling lately.
Weak / strong market	The equal-weight average of all shares below / above its own 50-day average.	Two of the three patterns only work in a weak market.
T+2	Shares you buy reach your demat account two days later.	You cannot sell before the third session after buying.
Charges	Broker commission (both sides), SEBON fee, DP charge.	About 0.8% per buy-and-sell. All results are after charges, before tax.
Target / stop	The price to take profit / the price to accept you were wrong.	Every test: +10% target, stop on a close 7% below the buy price.
Circuit	The daily limit on price moves.	In 2026 moves above 10% appear (268 times), so the limit seems wider now.

Win rate is not the whole story. A rule can win 60% of its trades and still lose money if the losses are bigger than the gains. Every table shows the **average result per trade after charges**.

3. How the testing works (and why it is not hindsight)

Step	What happens	Why
1. Signal	After a session closes, the rule is checked with prices **up to that close only**.	You can't use tomorrow's price today.
2. Buy	At the **next session's opening price**.	The first price you could actually get.
3. Plan fixed	Target +10% and stop −7% are set from the buy price.	No adjusting after seeing the result.
4. T+2	No sale in the first two sessions after buying.	NEPSE settlement.
5. Sell	At the first of: the high reaching the target, a close at or below the stop, or about 20 sessions.	A mechanical exit; no picking the best day.
6. Charges	0.8% off every round trip.	Small gains disappear after charges.
7. One at a time	While a stock is held, new signals on it are ignored.	Otherwise one rally counts as many wins.

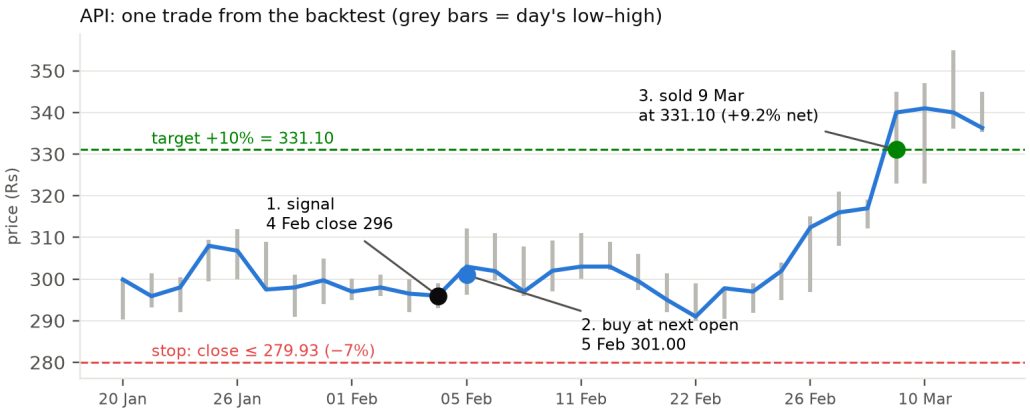


Figure 1. A real trade: the signal used prices up to 4 Feb 2026; the buy was the 5 Feb opening price; the stop was never touched; the target was reached on 9 Mar. Later signals while it was held are not counted as new trades.

Year by year, so luck can't hide

Searching thousands of combinations always finds some that worked by luck. Two guards are used. First, every result is shown **per calendar year**: a real pattern should work in most years, not in one good stretch. Second, a **walk-forward** test: rules were searched using only the years before, then traded in the next year, which the search never saw.

Test year	2023	2024	2025	2026
Rules chosen from earlier years only	+0.4%	+2.0%	+0.4%	+1.6%
Any liquid stock (baseline)	−2.3%	+1.0%	−0.8%	−0.7%

Rules found only on the past beat the baseline in every test year, by 1 to 3 points. But the best rules were **different each year**: there is no fixed magic formula, so the search should be re-run as new data arrives (Run analysis now).

4. Six very different years

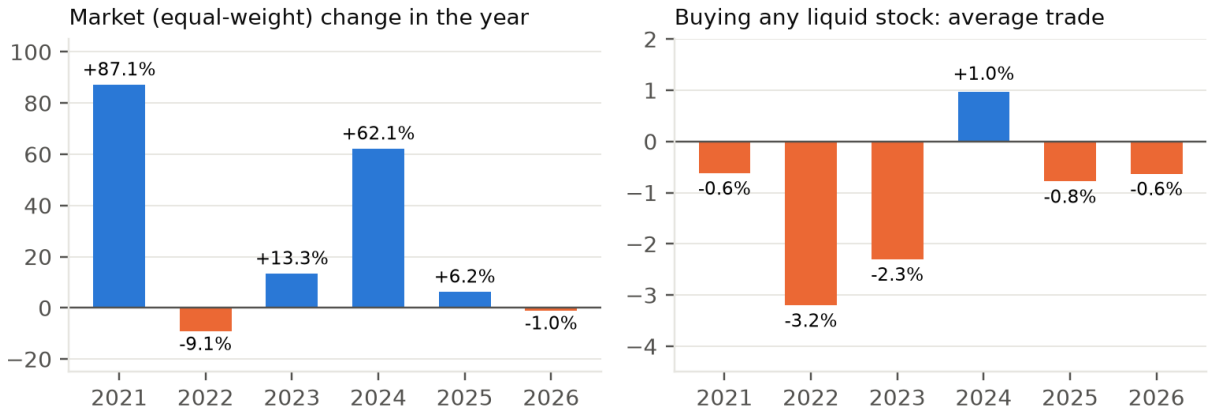


Figure 2. Left: the equal-weight market. Right: the average result of buying any liquid stock with the +10% / −7% / 20-session plan. Even in the boom year 2021 the average trade lost, because the drops were as violent as the rallies.

5. What was true in every one of the six years

All liquid stock-days were split into five equal groups by each indicator. These groups did better (blue) or worse (orange) than that year's average stock **in every single year** from 2021 to 2026, a much stronger test than one good period.

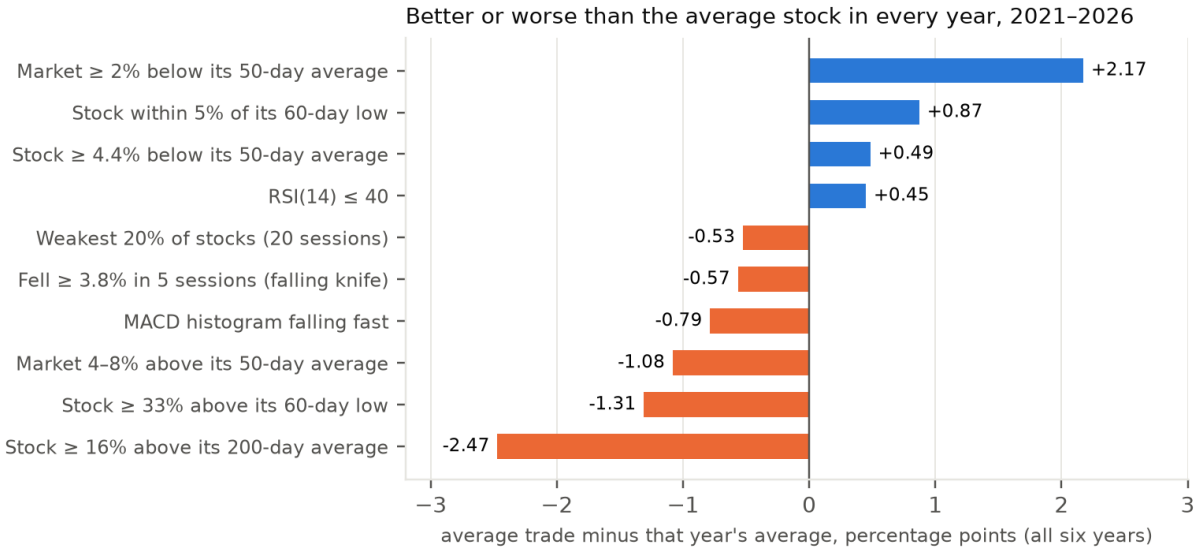


Figure 3. Average difference from the year's average trade, in percentage points, over six years.

Look for

- **A weak market.** Buying after the whole market pulled back 2%+ below its 50-day average beat the average every year (+2.2 points).
- **Quiet stocks near their lows**: within 5% of the 60-day low, or below their 50-day average, RSI around 40 or lower.
- **A stock flat for months** (tight 60-day range), or calm with turnover starting to rise (section 8).

Avoid

- **Stocks far above their 200-day average** (16%+): worst group every year (−2.5 points).
- **Stocks far above their 60-day low** (33%+): the move has already happened.
- **Buying when the market is stretched** (4–8% above its 50-day average).
- **Falling knives**: down 3.8%+ in five sessions, or MACD histogram dropping fast.
- **The weakest stocks in the market** and **stocks that just jumped** (MACD histogram above 0.47% of price lost in 4 of 6 years).

6. Indicators in plain words, and volume

Indicator	What it tells you	Six-year verdict
EMA 20 / 50 / 200	Average price over 20, 50 or 200 sessions. Above = it has been rising.	Far above the 200-day average was the worst group in every year. Moderately below the 50-day did better than average.
RSI (14)	Momentum 0–100: high = has risen fast, low = has fallen fast.	Low RSI (≤ 40) beat the average every year, modestly.
MACD histogram	Whether momentum is building or fading.	Large = just jumped: lost in 4 of 6 years. Falling fast: worse every year.
Bollinger bands, %b	A band around the 20-day average; %b = position in it (0 = bottom).	Near the bottom while the stock stays near its 60-day high: pattern D. Break above the band after a squeeze: failed after 2023.
ATR	How much the price moves in a normal day.	Calm stocks did better in most years; very jumpy ones worse.
60-day high / low	Where the price sits in its last three months.	Close to both (flat for months) = pattern T. Far above the low = bad every year.
Turnover vs normal	Money traded recently compared with the stock's usual.	Rising turnover in a calm stock helped (pattern Q). On its own, no direction (below).
Up/down volume, OBV, CMF, trade size	Ways to read buying vs selling from volume.	None predicted direction reliably on its own.
Market vs its 50-day average	Is the whole market weak or strong?	The strongest single effect found (+2.2 points when weak).

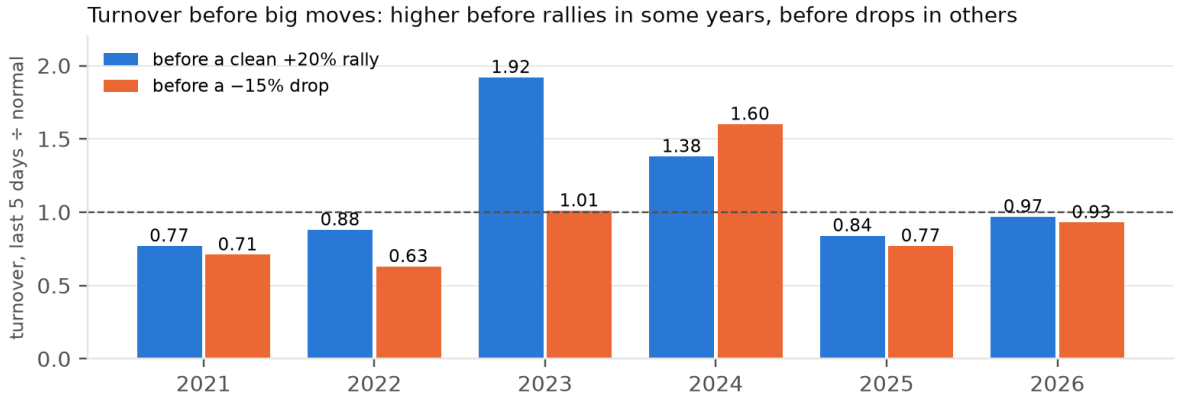


Figure 4. Median turnover in the 5 days before big moves, compared with normal (1.0). In 2023 turnover was high before rallies; in 2024 it was higher before drops. Volume shows that something is happening, not which way.

Accumulation vs distribution. Accumulation looks like a calm, sideways price while turnover slowly rises and the price has not reacted yet. Distribution looks like heavy turnover on days the price stalls or slips, after a big run. The difference is in the **price behaviour around the volume**, not in the volume alone.

7. Your nine rule sets on six years

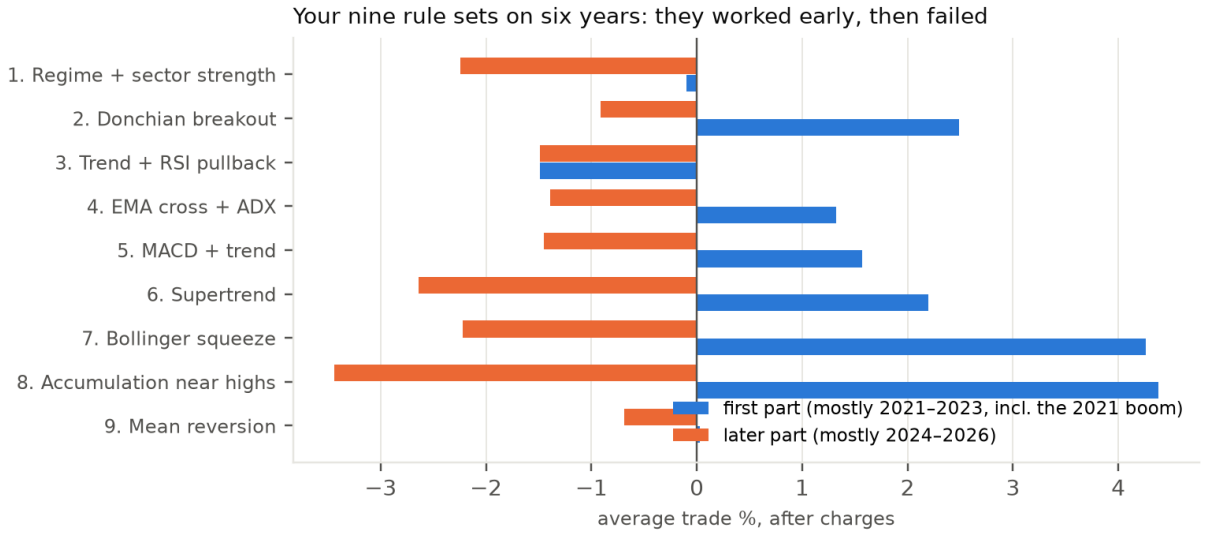


Figure 5. Average trade in the first part of each rule's test window (mostly 2021–23) and the later part (mostly 2024–26).

Rule	Six years	What happened
2, 7, 8: breakouts, squeeze, accumulation near highs	+0.2 to +1.9% overall	Strong in 2021–23 (up to +4.7%), then −0.9% to −4.2% a trade.
4, 5, 6: EMA cross, MACD, Supertrend	about 0%	Positive early, −1.4% to −2.6% later.
1: regime + sector strength	−1.0 to −1.8%	Lost in both parts.
3: trend + RSI pullback	−1.5 to −1.8%	Lost in both parts.
9: short-term mean reversion	−0.4 to −0.5%	Near break-even; charges ate the edge.

The common thread: these rules buy **after** the price has moved (a breakout, a cross, a jump). That worked in the 2021 boom when everything kept rising, and stopped working after. The patterns that held up buy **before** the move, while the stock is still quiet, or after the market has pulled back.

8. The three patterns the scanner now uses

	Pattern	Conditions at the close (all must be true; liquid stocks only)
T	Tight 60-day range (any market)	within 6.4% of the 60-session high AND at most 6.4% above the 60-session low: flat for three months
Q	Quiet coil + rising turnover (weak market only)	daily moves (ATR) ≤ 3%; 20-session range ≤ 12.5%; 5-session change ≤ +0.6%; MACD histogram ≤ 0.13% of price; ≤ 17% above the 60-session low; turnover of the last 5 sessions ≥ 1.3× the 60 before; market below its 50-day average
D	Dip near the 60-day high (weak market only)	within 8.3% of the 60-session high; Bollinger %b ≤ 0.22 (near the lower band); market below its 50-day average

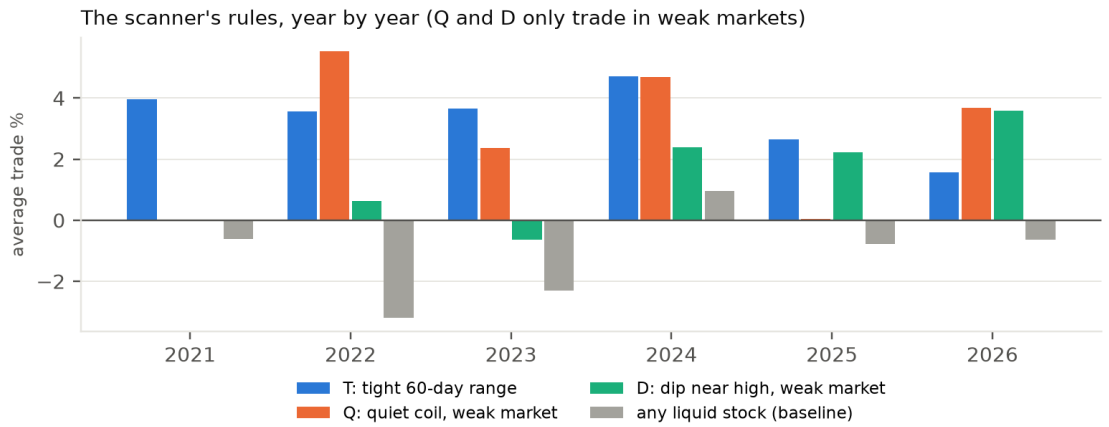


Figure 6. Average trade per year, one position per stock, after charges. Very few trades in some years: T in 2021 (2), Q in 2024 (2), D in 2024 (7).

Pattern	Trades	Won	Average	Years positive	Weak market	Strong market
T: tight 60-day range	299	61%	+2.6%	6 of 6	+2.2%	+2.8%
Q: quiet coil (weak market)	156	65%	+2.8%	5 of 5 (2025: 0.0%)	+2.8%	+0.7% (not used)
D: dip near high (weak market)	257	62%	+2.3%	4 of 5	+2.4%	+0.6% (not used)
Any liquid stock	—	43–47 %	−0.2 to −0.9%	1 of 6	−0.2%	−0.9%

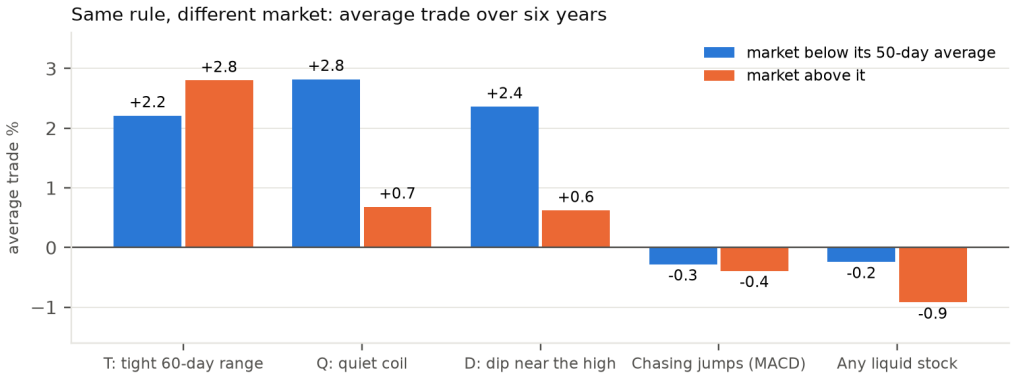


Figure 7. The same pattern in a weak versus a strong market. Q and D only pay when the market is weak, so the scanner switches them off when the market is above its 50-day average. T works in both.

Why these might work

A stock that has been flat for months, or calm with money quietly arriving, often has patient buyers absorbing supply. When the sellers at that level run out, the price can move quickly. In a weak market, good stocks get sold along with everything else; buying their dips, before the market recovers, worked better than buying after the rebound had started.

Honest caveats. The market filter and pattern T were chosen after looking at all six years; only T's 2026 result (+1.5%, found using 2021–25) is untouched evidence. Averages of +2–3% a trade with about 60–65% won mean losing streaks of 4–5 trades are normal. The **Live** row on the Past picks page, filled after each daily crawl, is the real test from now on.

9. Before you buy a pick, and real cases

- **Which pattern, and is it on?** Today's picks shows the market state; Q and D only appear in a weak market.
- **The stock's own record** (Check stocks): if a pattern never worked on this stock, skip it.
- **Warning signs** shown next to a stock (far above its 200-day average or 60-day low, just jumped, very jumpy) were bad in every year.
- **News and data:** a crash or jump on news is not a pattern; unusual days may be data errors.

Stock	What happened	Lesson
API	Signal 4 Feb 2026; bought 5 Feb at 301; dipped to 291; target 331.10 reached 9 Mar: +9.2% after charges.	A clean win; later signals while held were not new trades.
NTC	Fits the quiet coil, but on NTC it rarely reached +10% in 20 sessions; its own record was negative.	Check each stock's record; a very calm stock can be too calm.
SARBTM	Pattern T on 3 Nov 2026 (2.9% below its 60-day high, 5.7% above its low); T on this stock before: 5 closed trades, 4 won, +3.9%.	A pick backed by both the pattern and the stock's own history.
SINDU	Fell 44% in three sessions in September 2026 on stock-specific news.	Find the reason for a crash before looking at any chart.

10. A daily routine

When	What to do in the app
After the close	The daily crawl stores prices and the scanner records that day's picks automatically.
Evening	Pattern scanner → Today's picks: note the market state, open Details for each pick, read its past record and warnings.
Before deciding	Bull run checklist for the market; the stock page for news, liquidity and recent behaviour.
If you buy	Write a note with the stop as a condition, e.g. "SARBTM close below 757"; the app checks it after each session.
Every week	Past picks & results: is the Live row of each pattern still positive? If live picks keep losing, stop using that pattern.
Every few months	Run analysis now: look at each rule's year line and its weak- vs strong-market results.

11. How much to buy

Decide the most you accept to lose on one trade, for example **1% of your capital**, and size the position from the stop:

	Example
Your capital	Rs 10,00,000
Most you accept to lose on this trade (1%)	Rs 10,000
Distance to the stop	7% of the price (plus about 0.8% charges ≈ 8%)
Position size	Rs 10,000 ÷ 8% = **Rs 1,25,000**

With a 60–65% win rate, five losers in a row will happen sometimes; with this sizing they cost about 5% of your capital, and one +10% winner recovers more than one loss.

12. Limits of this analysis

- **Six years, about 150–300 trades per pattern.** Much better than one year, but luck can still explain part of a result.
- **Chosen after looking.** The market filter and the tight-range pattern were picked after seeing all six years; the Live record is the real test.
- **Markets change.** The textbook rules worked in 2021–23 and failed after; these patterns can fade too. The year line in Run analysis shows it early.
- **Exits are slightly kind:** the target assumes your sell order fills when the high touches it; the stop sells at the close. If target and stop fall on the same day, the test assumes the target.
- **Not included:** capital-gains tax, slippage on big orders, fundamentals (earnings, book value, dividends), news and regulation.
- **Rules of the market changed** over the years (trading days, circuit limits, settlement). Recent years deserve more weight.

Bottom line. Use the scanner to decide **which stocks to study**, not as an automatic buy button. Prefer stocks that are flat for months or quiet with money arriving; buy more readily when the whole market has pulled back; avoid chasing jumps and stocks far above their averages; check each stock's own record; size every trade from its stop; and let the Live results prove a pattern before you trust it with real size.

Quick reference card

Good signs	Warning signs
Market below its 50-day average	Market 4–8% above its 50-day average
Flat for 3 months (within ~6% of 60-day high and low)	16%+ above its 200-day average
Calm (ATR ≤ 3%), tight 20-day range (≤ 12.5%)	33%+ above its 60-day low
Turnover rising 1.3×+ while the price is calm	Just jumped (MACD histogram ≥ 0.47% of price)
Dip to the lower band while near the 60-day high	Falling knife (−3.8%+ in 5 days)
RSI around 40 or lower	Among the weakest stocks of the market
Rs 50 lakh+ traded a day	Thin trading, news-driven crash or jump

Trade plan used in every test	
Signal	at the close, data up to that day only
Buy	next session's open
Target	+10% (standing sell order)
Stop	a close 7% below the buy price
Time limit	about 20 sessions
Earliest sale	third session after buying (T+2)
Charges	0.8% per round trip, before tax